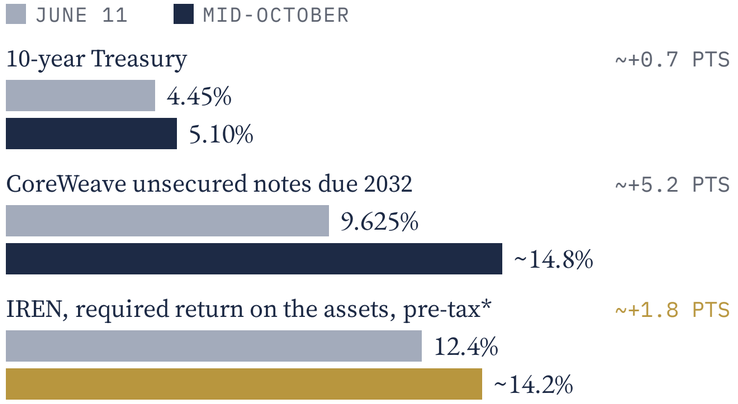
At ~$27, IREN is priced at ~12% WACC. Each further half point costs ~$4 a share.

Since June the 10-year has risen ~0.7 points and CoreWeave's unsecured notes ~5.2 points. At ~$27, IREN is priced as if the required return on its assets rose ~1.8 points, about 40% of it from the risk-free rate. That takes WACC from ~10.5% at June rates to ~12%, and value from ~$41 to ~$27.

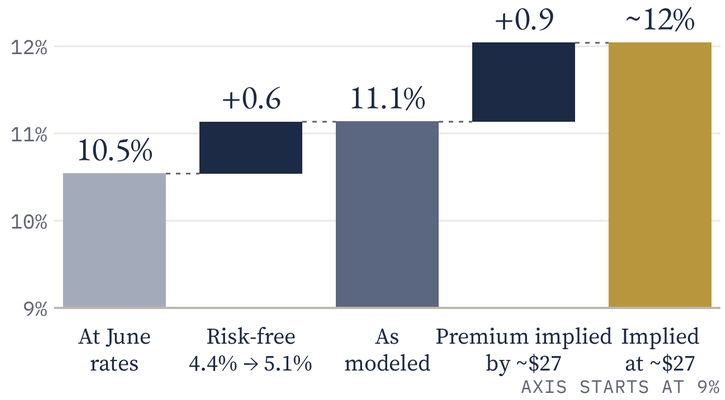
01 · DEBT MARKETS

Since CoreWeave sold its notes in June, unsecured neocloud credit has repriced far more than Treasuries. IREN's price implies a smaller move.



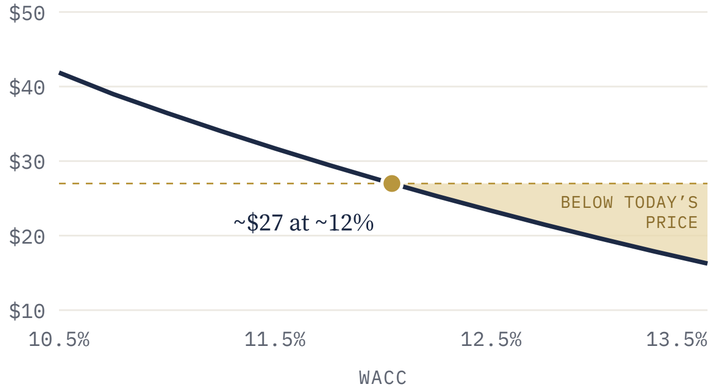
02 · COST OF CAPITAL

WACC is the required return on the assets less the tax shield on debt. About 40% of the rise is the risk-free rate; the rest is a premium the price implies.



03 · VALUE PER SHARE

Value against WACC, the rest as modeled. Near today's price, each half point of WACC is worth ~$4 a share.



~+0.7 pts
10-YEAR TREASURY SINCE JUNE

~+5.2 pts
COREWEAVE UNSECURED YIELD SINCE JUNE

~14.2%
REQUIRED RETURN ON THE ASSETS IMPLIED, FROM ~12.4%

~12%
WACC IMPLIED BY ~$27, FROM ~10.5% AT JUNE RATES

~$4/share
PER HALF POINT OF WACC NEAR TODAY'S PRICE

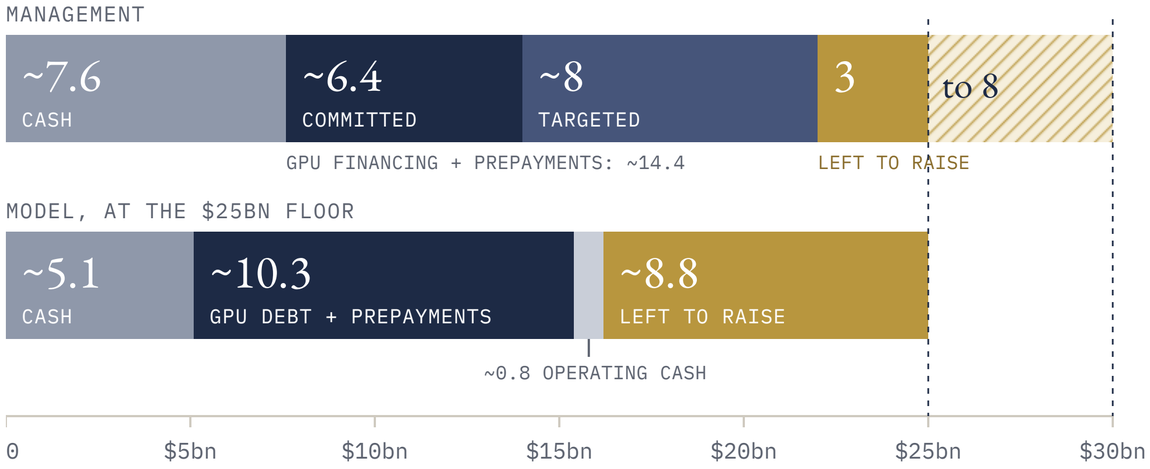
IREN at $26.99 (16 Oct 2026 close). 10-year Treasury: 4.45% on 11 Jun (U.S. Treasury) and 5.10% on 15 Oct, the model's rate (H.15). CoreWeave 9.625% unsecured notes due 2032, issued at par on 11 Jun (CoreWeave release); last trade $80.32 on 16 Oct (FINRA TRACE), ~14.8% yield computed from that price. *Unlevered cost of capital; WACC = that × (1 − 60% debt × 25% tax). "Implied" solves for the cost of capital that returns the $26.99 close with all else as modeled; "IREN | Power, Pricing and Funding" (October 2026) reads the same price as pricing erosion and sets out the wider WACC sensitivity. Fully recalculated at every point. Not affiliated with IREN. The author holds no position in IREN.

Guidance leaves ~$3–8bn of FY27 to raise. The model finds ~$9bn, at the floor.

IREN counts ~$14bn of cash and committed financing and targets ~$8bn more against $25–30bn of capex. The model draws GPU financing only as chips are delivered and puts no debt on ~$13bn of buildings and site work, since no data center financing has closed. Across FY27–29, needs net of cash come to roughly $13bn in today's money: ~200m new shares at ~$27, about half of today's count.

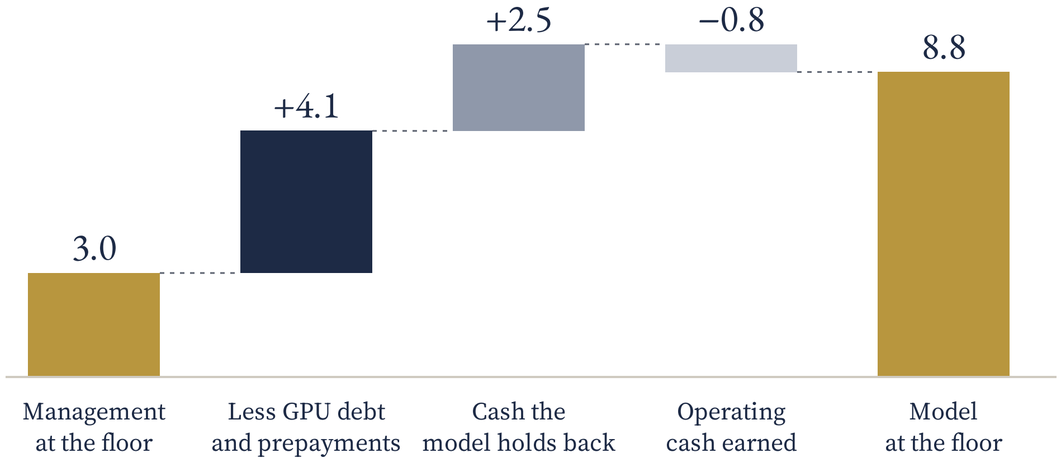
01 · FY27 FUNDING, $BN, APPROXIMATE

The same $25bn, funded two ways. Like colors are like sources: cash, GPU financing, operating cash, then what is left to raise.



02 · WHY THEY DIFFER, $BN, APPROXIMATE

The model draws GPU financing only on delivery, puts none on buildings, and keeps back ~$2.5bn of cash. Data center debt is the swing: a 30% advance cuts ~$2bn.



~$22bn
COMMITTED PLUS TARGETED, AGAINST $25–30BN OF FY27 CAPEX

~$13bn
FY27 CAPEX WITH NO DEBT AGAINST IT IN THE MODEL

~$9bn
MODEL FY27 LEFT TO RAISE, AFTER CASH

~200m
NEW SHARES AT ~$27: ABOUT HALF OF TODAY'S COUNT

~470m
IF THE WHOLE GAP IS EQUITY: MORE THAN TODAY'S COUNT

IREN at $26.99 (16 Oct 2026 close). Sources: IREN FY26 results (Form 8-K, 27 Aug 2026) and Q4 FY26 call; IREN Absolute Valuation Model, fully recalculated. Cash held back: ~$1.5bn of payables for capex already incurred plus a $1bn minimum. New shares: equity tranche on FY26's ~43% mix, on needs discounted to today (~235m undiscounted). The ~$7bn of new convertibles would convert into up to ~200m more above ~$36, offset by capped calls up to ~$54. Not affiliated with IREN. The author holds no position in IREN.